

The Korea Discount: A Review of Corporate Governance Deficits and the Case for Structural Reform

Author Name

May 8, 2026

Abstract

South Korean equities have traded at a persistent structural discount to developed and emerging market peers for at least three decades. This paper synthesizes the academic literature on the “Korea Discount,” drawing on 26 studies to assess the competing explanations—concentrated Chaebol ownership and tunneling, weak minority shareholder protections, and stagnant corporate growth prospects—and to evaluate the reform mechanisms proposed to resolve it. We find that while growth fundamentals and governance deficits are jointly implicated, the causal evidence from natural experiments consistently identifies the self-dealing channel as a direct and quantifiable source of value destruction. Institutional stewardship through the National Pension Service and the Stewardship Code has produced limited and conditional improvements, insufficient on their own to close the valuation gap. We support this conclusion with an original empirical contribution: a 20-year monthly panel of index-level price-to-book (P/B) ratios comparing Korea to Japan as a governance reform benchmark. Our results show that Korea’s relative valuation penalty deepened precisely during the period when Japan escalated from voluntary codes to mandatory, exchange-level structural enforcement in 2023, while Korea remained on a voluntary program. The evidence points to a consistent conclusion across the literature and our own analysis: mitigating the Korea Discount requires hard legislative reform—specifically, amendments to the Commercial Act mandating broader fiduciary duties—rather than continued reliance on soft-law guidelines.

1 Literature Review

1.1 The Persistent P/B Disparity: Defining the Korea Discount

The “Korea Discount” refers to the chronic undervaluation of South Korean equities relative to global peers, measured through depressed Price-to-Book (P/B), Price-to-Earnings (P/E) ratios. Kim [2026] provide the most comprehensive international evidence, documenting persistently lower P/B and P/E multiples for Korean firms across 48 countries from 1990 to 2023. The finding survives controls for firm size, profitability, growth, GDP per capita, financial market development, and geopolitical risk, and holds uniformly across the 1990s, 2000s, and 2010s sub-periods. At the firm level, Jung et al. [2022] demonstrate that the high prevalence of Korean firms with book-to-market ratios above one is more consistent with systematic mispricing than fundamental risk, and that a governance factor—rather than geopolitical or purely fundamental factors—is the cross-sectional predictor most strongly associated with this pattern.

The literature is divided, however, on which root causes are most likely. 양철원 et al. [2025] directly test governance, shareholder payout, and growth potential hypotheses and find that corporate governance has no statistically significant relationship with PBR, while variables capturing stagnant growth prospects—low R&D expenditure, high tangible-asset intensity, and firm maturity—exhibit positive correlations with low PBR. Higher shareholder payout tendencies are also associated with *lower* PBR, counter to the shareholder-return argument. Consistent with the growth view, 이정환 [2025] finds that for large manufacturing firms, which account for most of the KOSPI, dividend expansion has weak or even negative effects on PBR, while R&D investment is the more significant driver.

These findings directly challenge the governance-reform interpretation, and this is not fully resolved by the existing literature. The distinction between cross-sectional correlations and causal identification through natural experiments, reviewed below, partly explains the divergence: natural experiments consistently implicate governance as a direct value-destroyer even where cross-sectional regressions cannot detect it. The Korea Discount is likely overdetermined: weak growth fundamentals and governance failures reinforce one another, and reforms addressing only one dimension will underperform.

One commonly cited alternative explanation—North Korean geopolitical risk—does not appear to be a meaningful driver of the discount. Although Korean equities do exhibit short-lived negative reactions to acute provocation events such as nuclear tests or missile launches, the cumulative effect on long-run valuations is negligible. This is consistent with markets treating North Korean risk as a chronic, well-priced background condition rather than an incremental valuation drag: investors have had decades to discount this persistent geopolitical overhang, and cross-country studies that control for geopolitical risk explicitly find the Korea Discount survives intact. The discount is therefore better explained by the governance and fundamental

factors reviewed below than by geopolitical risk.

1.2 Root Causes: Concentrated Ownership, Chaebols, and Tunneling

The structural foundation of the Korea Discount lies in Korea’s Chaebol system—family-controlled conglomerates that dominate the Korean economy. Almeida et al. [2011] map the formation and ownership structure of Chaebols, finding that controlling families use well-established “central firms” to acquire low-profitability entities through pyramidal structures. Central firms trade at a discount to other group firms, with shareholders anticipating value-destroying pyramidal acquisitions; some underperformance may reflect selection effects rather than tunneling, since low-profitability firms are placed in pyramids by design. Kim et al. [2004] document that the cash flow rights disparity between voting and economic ownership is substantially larger than previously reported, because studies using only publicly listed firms miss the amplifying role of non-public affiliates.

When a Chaebol-affiliated firm makes an acquisition, its own stock price falls on average while the controlling shareholder benefits through value transfer to other group firms Bae et al. [2002]. Kim et al. [2019] provides complementary evidence using corporate charitable contributions: business group firms make systematically larger philanthropic donations, coordinated to tunnel resources from public affiliates (where family cash flow rights are lower) to private ones (where family stakes are higher).

The most causally credible evidence for the governance-to-value link comes from Black et al. [2015], who exploits Korea’s 1999 reform imposing stricter board structure requirements on large firms (assets above 2 trillion won) relative to mid-sized firms. Event studies show that large firms whose controllers had incentives to tunnel earned strong positive abnormal returns around the reform; panel regressions over 1998–2004 confirm that better governance moderates the negative effect of related-party transactions on firm value and raises the sensitivity of firm profitability to industry profitability—consistent with reduced tunneling. This natural experiment isolates the self-dealing channel and provides the identification that cross-sectional governance regressions cannot.

Concentrated ownership also distorts the broader governance environment. Njoku et al. [2026] find that among Chaebol-affiliated firms, only shareholder rights protection retains explanatory power for dividend payouts; board effectiveness, audit competency, and disclosure transparency lose independent influence once ownership structure is accounted for. This pattern shows that standard improvements in board composition and disclosure are insufficient when concentrated ownership remains entrenched. The structural consequences include a persistent holding company discount [박진 et al., 2019]—unique to Korea and absent from Japan and the US—and the use of cross-shareholding arrangements as management entrenchment devices [박진재,

2025].

1.3 The Limits of Institutional Stewardship in Korea

A first wave of policy responses sought to leverage the National Pension Service (NPS) as an activist institutional shareholder. Kim et al. [2022] document that NPS shareholding improves ESG performance and accounting and market outcomes among Korean manufacturing firms, with ESG improvements serving as the transmission channel. Lee and Nam [2026] confirm that NPS disclosures of ESG engagement intentions are associated with significant firm value gains in the following year, with effects largest for firms with the weakest internal governance—indicating that institutional activism substitutes for, rather than complements, internal governance mechanisms.

More direct forms of activism show limited reach. Kim et al. [2014] find that markets do not react to NPS “Vote No” press announcements in the short run—a result inconsistent with developed-market shareholder activism findings—though firms that subsequently improve internal governance after a vote-no campaign do show higher valuation over time. The short-run market non-reaction underscores that NPS activism lacks enforcement credibility absent structural reform. 박성환 et al. [2021] report a positive correlation between Stewardship Code adoption by institutional blockholders and earnings quality, but multivariate regressions fail to establish statistical significance; the authors attribute this to a time lag before shareholder activism translates into measurable governance and reporting changes, and recommend a long-term perspective.

A broader challenge to the institutional-activism idea comes from 김현석 et al. [2025], whose cross-country study covering 58 markets from 2001 to 2018 finds that Korea does not exhibit distinctively lower formal shareholder rights scores than peer countries. Korean firms’ shareholder return volumes were also not smaller than those in comparable markets; indeed, markets with the largest shareholder return increases saw declines in average firm value. What distinguishes Korea is the low value relevance of fundamentals: profitability and growth are incorporated into prices to a far lesser degree than in comparable markets, with Korean fundamentals ranking 51st among 58 countries—suggesting that a short-term investment culture prevents long-term growth expectations from being fully capitalized.

Together, these findings suggest that institutional activism operating within the current legal framework—absent structural reforms to shareholder enforcement—is insufficient to close the P/B gap.

1.4 Top-Down Policy: Japan’s Reforms as the Benchmark

Contemporary literature has converged on top-down institutional reform as the necessary complement to institutional activism, drawing heavily on Japan’s staged governance transformation. 이진효 [2025] evaluates

Korea’s 2024 “Corporate Value-Up” program and finds that its voluntary structure has produced low firm participation and a weak market response—the KOSPI closed weaker in 2024, the opposite of Japan’s experience following mandatory Tokyo Stock Exchange P/B directives. Japan’s reforms proceeded through a staged progression: the 2014 Stewardship Code, the 2015 Corporate Governance Code, and ultimately the 2023 TSE exchange-level mandate requiring firms with P/B below 1.0 to disclose capital cost improvement plans—each stage ratcheting enforcement rather than relying on voluntary compliance.

강나라 and 김희주 [2026] provide direct market evidence that legal reform shifts valuation expectations. Using the 2025 Korean Commercial Act amendment—which expanded directors’ fiduciary duties from the corporation to shareholders broadly—as a quasi-event study, they find that firms with the highest book-to-market ratios (the Korea Discount risk group) earned significantly positive abnormal returns at both the preliminary expectation date and the parliamentary passage date. The differential market reaction was larger around formal passage than around the presidential election that preceded it, and no significant reaction was found among high controlling-shareholder-ownership firms, suggesting that markets expect the amendment to have selective rather than uniform effects—larger for firms where governance reform has the most room to reduce expropriation. 주병철 [2026] complement this picture by showing that foreign investors act as asymmetric disciplinary monitors, correcting both over-investment in over-growing firms and underperformance in under-growing ones, implying that reforms improving market accessibility would amplify market discipline through the foreign investor channel.

The emerging consensus is that resolving the Korea Discount requires a transition from voluntary guidelines to comprehensive structural mandates. Korea’s current trajectory mirrors Japan’s pre-2023 soft-law phase. Our empirical analysis corroborates this view. Korea’s relative P/B penalty against Japan deepened precisely during the period in which Japan escalated to exchange-level enforcement while Korea remained on a voluntary program. Critically, the same pattern holds when Japan is replaced by MSCI EM Asia as the comparator—ruling out Japan-specific post-reform appreciation as the mechanical driver—consistent with the view that hard structural mandates, not soft codes, are the critical threshold for sustained valuation recovery.

2 Data and Methodology

2.1 Data and Sample Construction

Our empirical analysis rests on a monthly panel of index-level Price-to-Book (P/B) ratios spanning January 2004 to April 2026. The core universe comprises four benchmark indices: the Korea Composite Stock Price

Index (KOSPI), the Tokyo Stock Price Index (TOPIX), the S&P 500, and the MSCI Emerging Markets index. Descriptive and Japan event-study analysis runs through December 2024, the primary study endpoint. A follow-on window extending through April 2026 supports the Korea Value-Up event study and robustness specifications, which require additional post-event observation months given the recency of Korea’s 2024 reform milestones.

The regional robustness analysis draws on a broader set of MSCI country and regional indices—MSCI Hong Kong, MSCI Taiwan, MSCI EM Asia, MSCI China, MSCI India, and MSCI Indonesia. In the Korea alternative-comparator analysis, MSCI EM Asia replaces TOPIX as the spread denominator, allowing us to assess whether Japan-specific post-reform appreciation mechanically drives our headline Korea–Japan result.

All P/B series are measured at the aggregate index level at monthly frequency. Index-level P/B ratios have several methodological advantages over the firm-level multiples used in the governance literature. Because they reflect the value-weighted composition of each market’s listed equity, they integrate information across thousands of firms and smooth idiosyncratic cross-sectional noise. This property is particularly important for identifying structural valuation wedges—such as the Korea Discount—that persist across sectors, size groups, and firm-level governance variation. The tradeoff is that index-level analysis precludes controlling for firm-level observables such as profitability, leverage, or R&D intensity; our identification strategy therefore relies on the plausible assumption that such compositional differences between KOSPI and TOPIX are approximately stable within windows of the length we employ (36 months pre-event to 24 months post-event).

2.2 Descriptive Analysis

Figure 1 presents the 20-year P/B time series for KOSPI, TOPIX, S&P 500, and MSCI EM over the 2004–2024 study window, with Japan’s three primary governance reform dates annotated by vertical reference lines. This figure establishes the key stylized facts motivating our event-study design. The KOSPI–TOPIX gap, visible at the start of the sample and persistent throughout, narrows modestly during the global financial crisis and its aftermath, then resumes a downward trajectory by the mid-2010s. The most striking feature of Figure 1 is the divergent trajectory of the two indices following Japan’s March 2023 TSE P/B reform mandate, a divergence that the event-study analysis formalizes.

2.3 Primary Spread and Event-Study Design

The primary outcome variable throughout our analysis is the KOSPI–TOPIX P/B spread: the monthly difference between the KOSPI index-level P/B ratio and the TOPIX index-level P/B ratio. Japan is the

comparator because structural, geographic, and institutional similarities make it the most credible counterfactual in this setting. Japan and Korea are both capital-account-open, export-oriented economies with concentrated corporate ownership structures, and both listed equity markets are classified as developed by major index providers. Crucially, Japan has passed through a staged sequence of governance reforms over the past decade, culminating in a hard exchange-level mandate in 2023—precisely the reform trajectory that Korea’s policymakers and the literature argue Korea must replicate. These features justify Japan as the benchmark against which Korean governance policy can be evaluated.

We use a stacked event-study design to estimate the cumulative abnormal spread around each reform event [Cengiz et al., 2019]. Each event date receives its own cohort dataset, which is then pooled into a single regression. This approach allows each cohort’s pre-event trend to serve as its own counterfactual baseline without constraining effects to be homogeneous across events—a key advantage when reform intensity varies across milestones.

For each event date t_k ($k = 1, \dots, K$), we construct a cohort panel covering the 36 months before and 24 months after that event. Months within each cohort are indexed by their calendar-month distance from t_k , denoted $\tau \in [-36, +24]$, where negative values are pre-event and positive values are post-event. For the Korea analysis, the post window is truncated to 20 months to respect the available observation period through April 2026.

Abnormal Spread Construction. Within each cohort, we estimate a pre-event linear trend in the spread over $\tau \in [-36, -1]$ by OLS regression of the spread on τ . The fitted trend is extrapolated to the full window to produce the expected spread, and the abnormal spread for each month is the realized spread minus the expected spread. Normalizing at $\tau = -1$ (the month immediately before the reform event) ensures that estimated effects capture deviations from the pre-event trajectory rather than pre-period level differences.

Stacked Regression and Cumulative Abnormal Returns. We pool the cohort-level abnormal spread panels into a stacked dataset and estimate a saturated cohort-by-relative-time OLS model:

$$\text{AbnSpread}_{k,\tau} = \sum_{k=1}^K \sum_{\tau \neq -1} \beta_{k,\tau} \cdot \mathbf{1}[\text{cohort} = k, \text{rel. time} = \tau] + \varepsilon_{k,\tau} \quad (1)$$

where the base category is $\tau = -1$ for each cohort, so $\beta_{k,-1} \equiv 0$ by construction. The saturated design is fully flexible: it imposes no parametric restriction on the pattern of abnormal spreads within or across cohorts, and makes no restrictions on treatment effect heterogeneity across events. The cumulative abnormal return

(CAR) for cohort k through month τ^* is:

$$\text{CAR}_{k,\tau^*} = \sum_{\tau=-12}^{\tau^*} \hat{\beta}_{k,\tau} \quad (2)$$

where the event window for the reported CARs begins at $\tau = -12$ rather than $\tau = -36$, so that CARs reflect the policy-relevant window around each reform date rather than the broader pre-event period used for baseline estimation.

Two features of this design preclude formal inference. First, within each cohort the saturated specification places one observation per relative-time cell, making robust sandwich standard errors undefined. Second, in the Korea analysis, three Value-Up reform dates cluster within a seven-month window in 2024, so calendar months in early 2024 simultaneously appear in the post-event segment of the February cohort and the pre-event segment of the May cohort, creating collinearity in the stacked design matrix. We therefore report coefficients and CARs as descriptive statistics throughout, treating overlapping event windows as a feature to be disclosed rather than a source of bias to be corrected.

2.4 Japan Event-Study: Reform Benchmark Identification

The Japan event-study uses three governance reform events: (i) the Financial Services Agency Stewardship Code (February 2014), which established behavioral expectations for institutional investors; (ii) the Tokyo Stock Exchange Corporate Governance Code (June 2015), which imposed formal board composition and disclosure standards on listed companies; and (iii) the TSE P/B Reform Request (March 2023), under which the TSE required all listed firms with P/B below 1.0 to disclose capital efficiency improvement plans or explain non-compliance. These three events span Japan’s full governance reform arc from soft institutional guidance to hard exchange-level mandate, and they constitute the governance sequence that Korea’s policy trajectory is being benchmarked against.

The direction of the spread effect depends on whether the reform in question caused TOPIX to appreciate or KOSPI to depreciate (or both) in relative terms. A persistent negative CAR in the KOSPI–TOPIX spread following a Japanese reform would indicate that Japan’s valuation improved relative to Korea’s—consistent with the governance channel if the reform was effective in raising TOPIX values but did not produce a symmetric response in KOSPI. A null or positive CAR would indicate no widening of the Korea Discount in response to Japan’s reform milestones.

2.5 Geopolitical Risk Falsification

The literature above identifies North Korean geopolitical risk as a commonly cited but empirically weak explanation for the discount. We test this formally using the Geopolitical Risk index for Korea (GPRC_KOR) constructed by Caldara and Iacoviello [2022], which provides a monthly country-level measure of media-reported geopolitical threats. To operationalize the escalation hypothesis in its strongest form, we construct a binary escalation dummy equal to one when GPRC_KOR exceeds its 75th percentile over the 2004–2024 study window—a threshold that identifies the most severe geopolitical risk episodes rather than the chronic background level.

We estimate the following model:

$$\text{KOSPI}_t^{\text{PB}} = \alpha + \beta_1 \cdot \text{GPR_Esc}_t + \beta_2 \cdot \text{TOPIX}_t^{\text{PB}} + \sum_y \gamma_y \cdot \mathbf{1}[\text{year} = y] + \varepsilon_t \quad (3)$$

where the TOPIX P/B control absorbs common global equity market movements, and year fixed effects absorb secular trends in both series over the two-decade panel. Standard errors are HC3 heteroskedasticity-robust. The key parameter is β_1 : if geopolitical risk is a meaningful driver of the Korea Discount, KOSPI P/B should be systematically lower in high-escalation months even after controlling for TOPIX co-movement and year-level trends.

Because GPRC_KOR may absorb global risk-off episodes that simultaneously depress multiple equity markets, $\hat{\beta}_1$ is potentially upward biased as an estimate of the pure North Korean threat effect. A near-zero estimate is therefore a conservative result against the geopolitical risk hypothesis: even a test biased toward finding an effect finds none.

2.6 Korea Value-Up Event Study

We apply the same stacked event-study design to three Korean governance reform milestones from Korea’s 2024 “Corporate Value-Up” program: (i) the program launch (February 26, 2024), which announced the policy framework; (ii) the guidelines unveiling (May 2, 2024), which released implementation guidelines for voluntary firm participation; and (iii) the implementation push (August 12, 2024), which reiterated regulatory pressure for firms to file value enhancement plans. Event dates are fixed prior to estimation to prevent post-hoc selection.

The Korea event-study uses the same stacking window parameters as the Japan analysis ($[-36, +20]$ months), with the post window capped at 20 months given data availability through April 2026. The primary spread is KOSPI minus TOPIX P/B, preserving strict comparability with the Japan event-study.

A parallel analysis uses KOSPI minus MSCI EM Asia P/B as the spread. This estimand is distinct from the KOSPI–TOPIX spread and addresses a specific identification concern: if the TOPIX-based result is driven mechanically by Japan’s post-2023 appreciation rather than Korea’s stagnation, the MSCI EM Asia benchmark—which carries no equivalent exchange-level P/B mandate—should not replicate it. Consistency across both spreads therefore strengthens the causal interpretation.

The three Korea reform dates cluster within a seven-month window (February, May, and August 2024), creating calendar-time overlap across cohort event windows. Under overlap, months in early 2024 simultaneously contribute to the post-event segment of the February cohort and the pre-event segment of the May cohort. We retain and explicitly annotate these overlapping observations rather than dropping them or restricting the event set, for two reasons. First, the Korea Value-Up policy milestones are analytically distinct, and collapsing them into a single event would discard informative variation in market responses across program stages. Second, since we report descriptive CARs rather than inferential estimates, the overlap does not distort the coefficient interpretation in the same way it would distort a difference-in-differences variance estimator.

2.7 Robustness Specifications

We report robustness checks along two dimensions. First, we vary the event-date specification and post-event window for the TOPIX-based spread across three variants: (i) the *narrow 2024 rollout* baseline, using the three February–August 2024 dates with a 20-month post window; (ii) a *window sensitivity* variant that truncates the post window to 12 months, testing sensitivity to the follow-on horizon; and (iii) a *spaced follow-through* variant that replaces the clustered 2024 dates with a temporally spread event sequence—the February 2024 program launch, the July 2025 mandatory governance disclosure expansion, and the February 2026 Value-Up dividend disclosure rule—though with a maximum post window of only 2 months for the latest event given the current study endpoint. Second, all three event-date variants are re-estimated using the MSCI EM Asia spread rather than TOPIX, producing a parallel Korea–Asia robustness suite. Consistency across both the TOPIX and MSCI EM Asia suites, and across event-date specifications, constitutes the primary robustness evidence.

3 Results

3.1 Descriptive Evidence

Table ?? presents full-panel and sub-period summary statistics for the four benchmark indices over January 2004 to December 2024. Over the full sample, KOSPI trades at a mean P/B ratio of 1.18, compared with 1.35 for TOPIX, 1.78 for MSCI Emerging Markets, and 3.08 for the S&P 500. The KOSPI–TOPIX P/B spread averages -0.177 P/B points over the 252 monthly observations, with a Newey–West standard error of 0.055 and a t -statistic of -3.23 . Against the broader emerging-market benchmark, the discount is substantially larger: the KOSPI–MSCI EM spread averages -0.601 P/B points, with a Newey–West standard error of 0.058 and a t -statistic of -10.31 . Both gaps are persistent across the two-decade panel, with 95 percent confidence intervals of $[-0.284, -0.069]$ for the TOPIX spread and $[-0.716, -0.486]$ for the MSCI EM spread, confirming that neither estimate reflects a short-lived episode or a single crisis event.

The sub-period decomposition reveals a structural deterioration in Korea’s relative valuation that coincides with Japan’s governance reform arc. In the pre-reform period (2004–2013), KOSPI averaged 1.36 and TOPIX averaged 1.41—a gap of only 0.05 P/B points that amounts to near-parity. During the reform era (2014–2022), spanning Japan’s Stewardship Code through the years preceding the TSE P/B mandate, KOSPI fell to a mean of 1.02 while TOPIX averaged 1.29—a gap of 0.27 P/B points, more than five times its pre-reform level. In the post-TSE sub-period (2023–2024), the deterioration accelerated further: KOSPI averaged 0.93 while TOPIX averaged 1.36, a mean gap of 0.43 P/B points. Korea thus entered the post-TSE period trading below book value on average, a threshold the literature associates with chronic governance-related undervaluation, while Japan was re-rating upward. The MSCI EM comparison reinforces this picture: against an emerging-market benchmark that averaged 1.97 in the pre-reform period and 1.66 in the post-TSE period, Korea’s discount has grown from approximately 0.61 to 0.73 P/B points, indicating that Korea’s deterioration relative to emerging-market peers preceded and survived the Japan-specific reform dynamics. Figure 1 presents the full 20-year P/B time series, with Japan’s three primary reform dates annotated.

3.2 Japan Reform Benchmark

Figure 2 presents the cumulative abnormal spreads from the Japan stacked event study across both spread definitions. The direction and magnitude of the CARs depend sharply on the nature of each reform event, illustrating the importance of distinguishing soft institutional guidance from hard exchange-level mandates.

Stewardship Code (February 2014). In the 12 months following Japan’s Stewardship Code, the KOSPI–TOPIX abnormal spread moved modestly, accumulating to $+1.322$ P/B points by $\tau = 12$. By the end of the

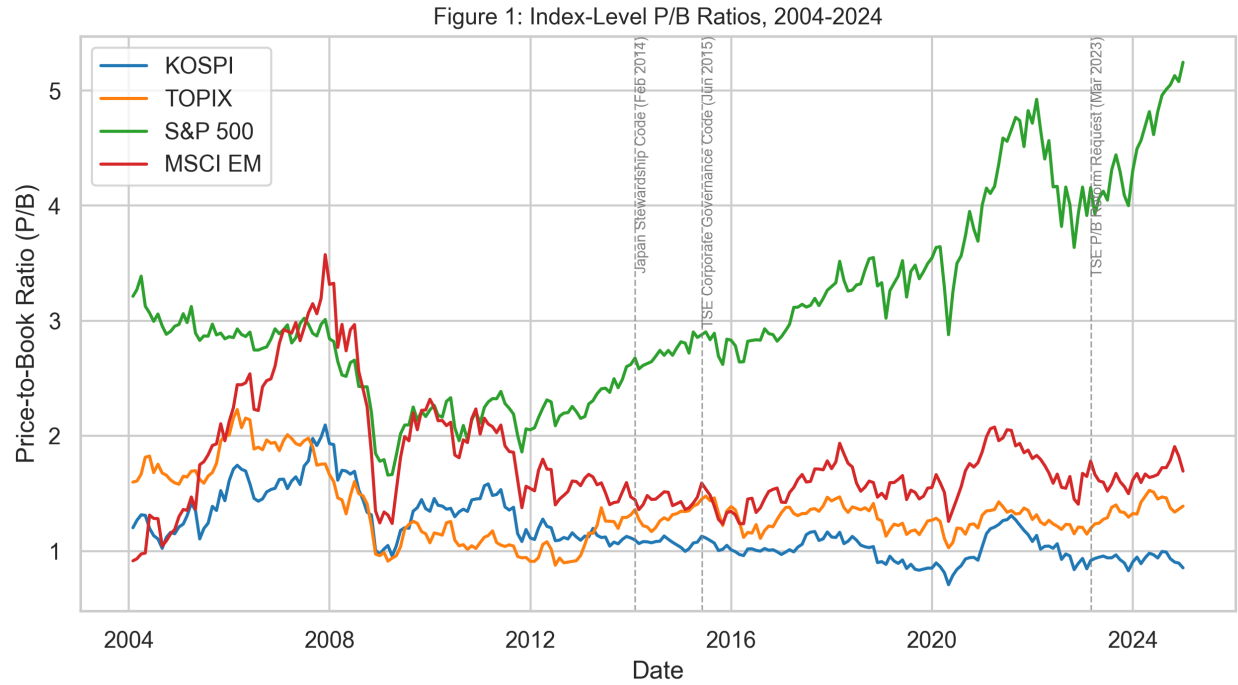


Figure 1: Monthly P/B ratios for KOSPI, TOPIX, MSCI EM, and S&P 500, January 2004–December 2024. Vertical dashed lines mark Japan’s three governance reform milestones: the Stewardship Code (February 2014), the TSE Corporate Governance Code (June 2015), and the TSE P/B Reform Request (March 2023). The divergence between KOSPI and TOPIX following the 2023 mandate is the primary focus of the Japan event study in Section 4.2.

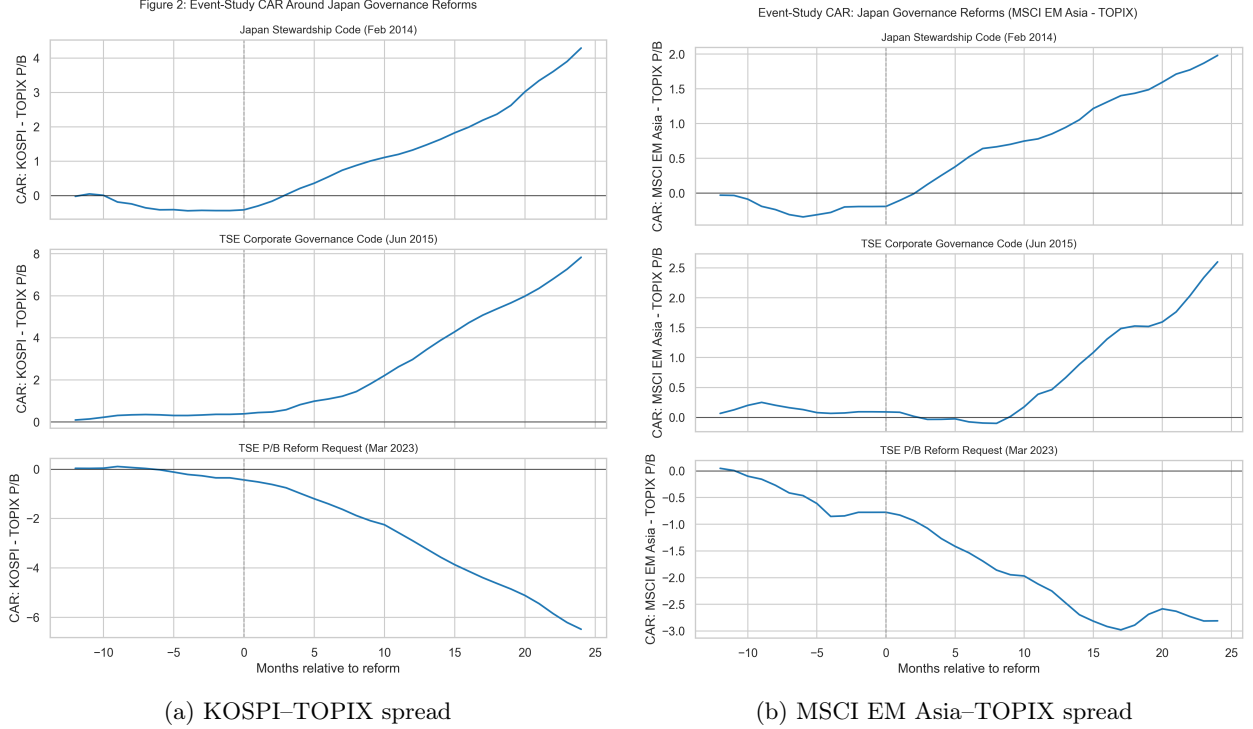


Figure 2: Cumulative abnormal spreads for Japan’s three governance reform events, estimated using the stacked cohort event-study design. Each line plots the CAR from $\tau = -12$ to the post-event window end for one cohort; the base period is $\tau = -1$. Panel (a) uses the KOSPI-TOPIX P/B spread; Panel (b) uses the MSCI EM Asia-TOPIX P/B spread. A negative CAR indicates that Japan’s benchmark (TOPIX) appreciated relative to the comparator index. The March 2023 TSE P/B Reform Request produces a persistently negative and accelerating CAR in both panels, reaching -6.48 P/B points (TOPIX) and -2.58 P/B points (Asia) at the window end. The 2014 and 2015 soft-code events produce positive CARs, indicating no commensurate Korea or EM Asia underperformance relative to trend.

24-month post-event window, the cumulative abnormal spread stood at +4.291 P/B points. A positive CAR on the KOSPI–TOPIX spread indicates that Korea’s P/B outperformed the Japan benchmark relative to the pre-event trend—consistent with the interpretation that Japan’s 2014 Stewardship Code, as a voluntary principles-based code for institutional investors, produced no substantial TOPIX re-rating that Korea failed to match. The parallel Asia-spread event study confirms this reading: the CAR at $\tau = 20$ reaches +1.595 P/B points in the MSCI EM Asia–TOPIX specification, with a similarly gradual post-announcement accumulation. Japan’s early soft-law reform did not widen the Korea–Japan structural gap in the two years following implementation.

TSE Corporate Governance Code (June 2015). The pattern following Japan’s Corporate Governance Code is quantitatively similar. The abnormal KOSPI–TOPIX spread accumulated to +2.965 by $\tau = 12$ and +7.829 P/B points by $\tau = 24$, with positive month-on-month contributions becoming particularly persistent from $\tau = 9$ onward. Against the MSCI EM Asia benchmark, the CAR at $\tau = 20$ reached +1.596. As with the Stewardship Code, the positive direction of the CARs indicates that Korea’s equity market did not underperform Japan in the years following Japan’s second soft-law governance code. The two-year post-event trajectory shows steady positive accumulation without reversal, but the sub-period summary statistics document that the absolute Korea Discount was already established and widening during this period as Korea’s mean P/B fell to 1.02 across the full reform era.

TSE P/B Reform Request (March 2023). The results for Japan’s 2023 hard mandate are sharply different in both sign and trajectory from the earlier soft-law events. In the month of the TSE announcement, the KOSPI–TOPIX abnormal spread fell by -0.085 P/B points, and the decline became monotone and accelerating in subsequent months: by $\tau = 6$ the CAR stood at -1.402 , by $\tau = 12$ it had reached -2.894 , and by $\tau = 24$ it had accumulated to -6.481 P/B points. The monthly increments remain negative without exception through $\tau = 23$. The cumulative magnitude— 6.48 P/B points of spread widening over 24 months—is the largest in absolute value of any event in our sample, and the absence of any post-announcement reversal distinguishes this result from the noisier trajectories of the 2014 and 2015 events. The direction is unambiguous: Japan’s mandatory P/B reform caused the TOPIX to appreciate substantially relative to the KOSPI, widening the Korea–Japan valuation gap to its historically widest level. The MSCI EM Asia comparison corroborates the pattern: the CAR accumulates to -2.584 P/B points by $\tau = 20$ in the Asia-spread specification, indicating that the TSE mandate depressed Korea’s (and EM Asia’s) relative standing by lifting TOPIX far above its pre-mandate trend. The consistency across both spread definitions— -6.481 in the TOPIX specification and -2.584 in the MSCI EM Asia specification—strengthens the interpretation

that the 2023 TSE reform was the structural inflection point separating Japan’s governance reform arc from Korea’s stagnation.

3.3 Geopolitical Risk

Table ?? presents the results of the geopolitical risk falsification test. The coefficient on the GPR escalation dummy—defined as months in which the Caldara-Iacoviello GPRC_KOR index exceeded its 75th percentile (0.370) over the 2004–2024 study window—is -0.016 P/B points, with an HC3 standard error of 0.019, a t -statistic of -0.835 , and a p -value of 0.405. The null hypothesis that geopolitical escalation has no conditional association with KOSPI P/B cannot be rejected at any conventional significance level. The estimate is also negligible in economic magnitude: even taken at face value, the point estimate implies that the most severe 25 percent of geopolitical episodes are associated with a 0.016 P/B point decline in KOSPI, equivalent to less than one-tenth of the mean KOSPI–TOPIX spread.

This near-zero result is conservative in a specific sense. Because GPRC_KOR may absorb global risk-off episodes that depress equity markets broadly rather than isolating the North Korea-specific threat channel, the estimate is potentially upward biased: the test is structured to find a geopolitical effect if one exists, and it finds none. The coefficient on the TOPIX P/B control, which captures common global equity market movements, is 0.629 (SE = 0.117, $t = 5.40$, $p < 0.001$), confirming that KOSPI P/B co-moves strongly with global equity conditions. After conditioning on this common factor as well as year fixed effects across 252 monthly observations, the geopolitical escalation dummy adds nothing. Figure 3 presents the conditional scatter of KOSPI P/B on the GPR escalation indicator, illustrating the absence of any systematic relationship. These results are consistent with the literature’s consensus that North Korean geopolitical risk is a chronic, fully-priced background condition: with a panel spanning multiple nuclear tests, missile launches, and inter-Korean diplomatic episodes, the formal test finds no residual valuation effect attributable to geopolitical escalation. The Korea Discount documented in Section 4.1 therefore cannot be attributed to a geopolitical risk premium that investors attach to Korean equities during elevated-threat periods.

3.4 Korea Value-Up Event Study

Figure 4 presents the Korea Value-Up event-study CARs for the KOSPI–TOPIX spread; Figure 5 presents the parallel results for the KOSPI–MSCI EM Asia spread.

Because the three Korea reform milestones cluster within a seven-month window (February–August 2024), the TOPIX and MSCI EM Asia comparisons must be read in conjunction: the TOPIX-based results are potentially confounded by Japan-specific post-2023 dynamics, while the MSCI EM Asia comparison

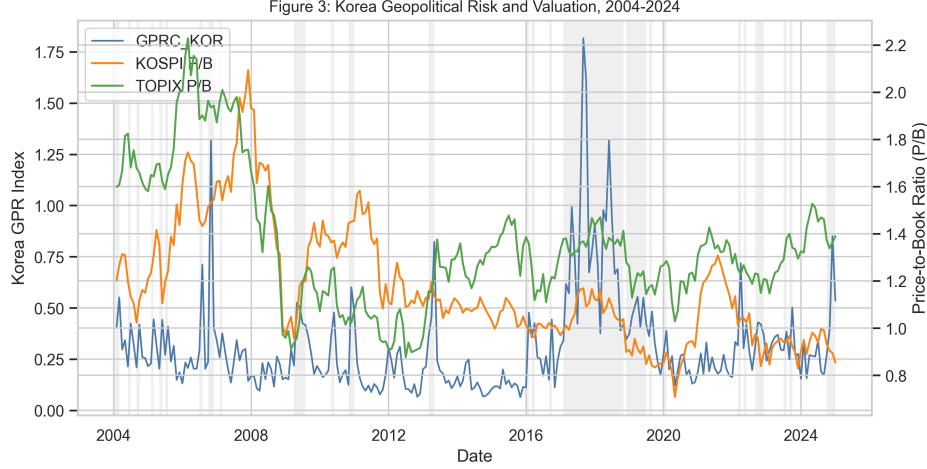


Figure 3: KOSPI P/B ratio by GPR escalation status, conditional on TOPIX P/B and year fixed effects. High-escalation months (GPR escalation dummy = 1) are defined as months in which GPRC_KOR exceeds its 75th percentile (0.370) over 2004–2024. The OLS coefficient on the escalation dummy is -0.016 P/B points ($t = -0.835$, $p = 0.405$), indistinguishable from zero. The regression controls for TOPIX P/B and includes year fixed effects; $N = 252$ monthly observations. HC3 standard errors.

provides a benchmark that carries no equivalent exchange-level P/B mandate and is therefore unaffected by TOPIX’s post-reform trajectory.

KOSPI–TOPIX spread. For the program launch event (February 26, 2024), the abnormal KOSPI–TOPIX spread falls immediately on announcement: the month-zero coefficient is -0.094 P/B points and the CAR reaches -0.190 at $\tau = 0$ and -0.362 at $\tau = 2$. By $\tau = 12$ the launch-event CAR stands at -0.289 P/B points, indicating that Korea’s P/B had fallen relative to Japan’s over the first year of the Value-Up program. The launch event is the cleanest of the three Korea milestones in the stacked design because it is least contaminated by overlap with the later cohorts’ pre-event estimation windows; its negative 12-month CAR establishes that the Value-Up announcement produced no improvement in Korea’s relative valuation against Japan. The Guidelines Unveiled (May 2, 2024) and Implementation Push (August 12, 2024) cohorts show positive CARs accumulating over the post-event window, reaching $+1.030$ and $+1.426$ P/B points respectively at $\tau = 12$, and $+3.305$ and $+5.470$ at $\tau = 20$. These positive CARs for the later cohorts reflect, at least in part, the partial plateauing of TOPIX in late 2024 after its 2023 re-rating—and a modest KOSPI recovery—rather than a structural improvement attributable to Korea’s voluntary reform program: both dynamics are absorbed by the pre-event trend extrapolation for those cohorts in ways that depend on when the trend-estimation window begins. Crucially, none of the three Korea Value-Up events approaches, in the favorable direction, the -6.48 P/B point widening that Japan’s 2023 hard mandate produced over the same post-event horizon.

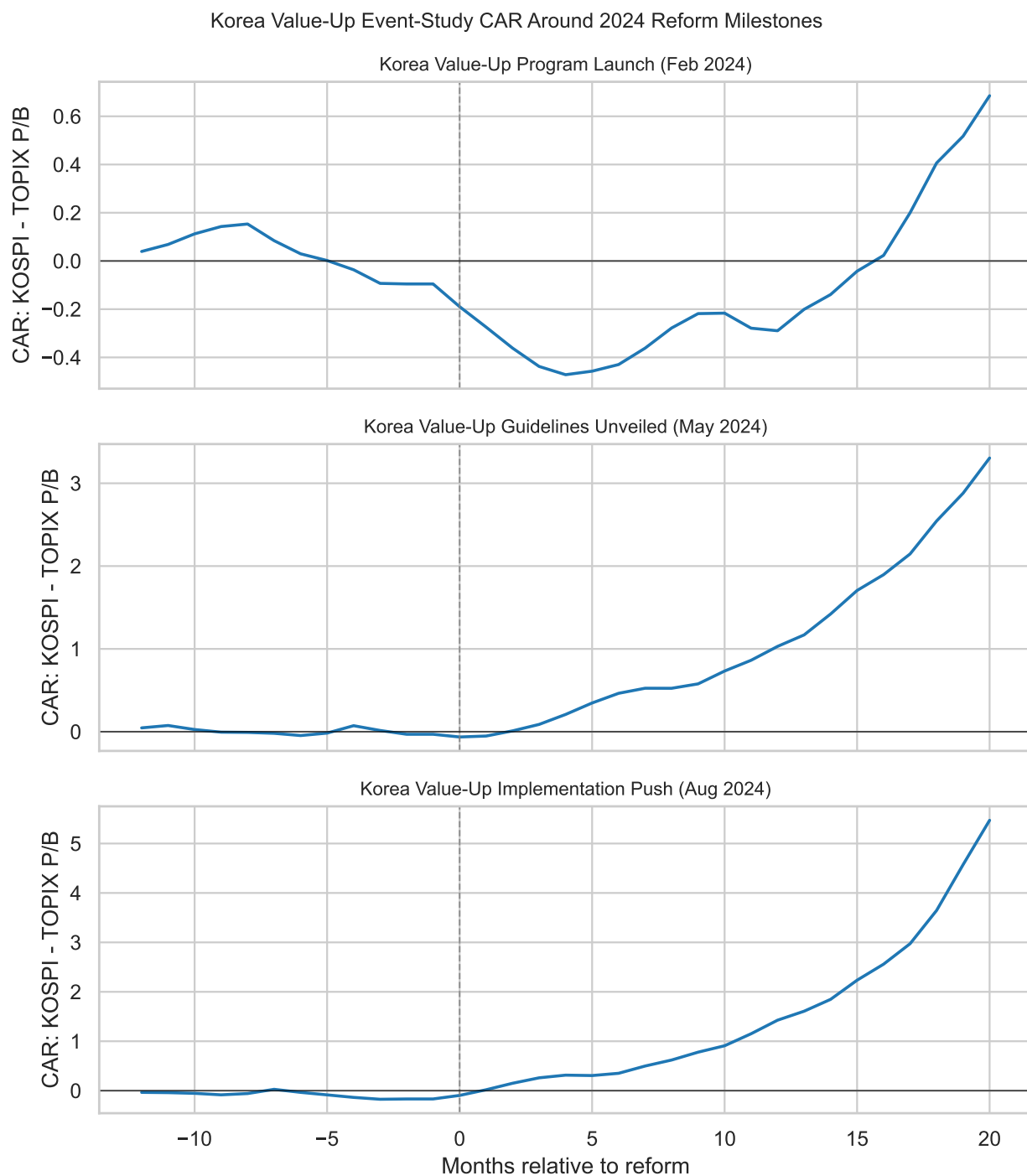


Figure 4: Cumulative abnormal KOSPI–TOPIX P/B spreads for Korea’s three Value-Up reform milestones: program launch (February 26, 2024), guidelines unveiled (May 2, 2024), and implementation push (August 12, 2024). Each cohort is normalized to zero at $\tau = -1$; CARs accumulate from $\tau = -12$. The launch event (February 2024) produces a negative 12-month CAR of -0.289 P/B points, indicating that Korea’s P/B fell relative to Japan in the first year. The guidelines and implementation push cohorts show positive CARs over the extended window, partly reflecting TOPIX-specific dynamics discussed in the text. Compare with Figure 5 (MSCI EM Asia spread) for the unconfounded result.

KOSPI–MSCI EM Asia spread. The MSCI EM Asia comparison resolves the interpretive ambiguity in the TOPIX-based results. Against a regional emerging-market benchmark unaffected by TSE-specific reform dynamics, all three Korea Value-Up milestones produce persistently negative CARs throughout the post-event window. For the program launch, the abnormal KOSPI–MSCI EM Asia spread falls to -0.315 P/B points by $\tau = 0$, to -0.792 by $\tau = 6$, to -2.178 by $\tau = 12$, and to -4.141 by $\tau = 20$, with negative month-on-month contributions in 16 of the 20 post-event months. The decline is monotone through $\tau = 16$ before a partial reversal in the final months of the observation window. For the Guidelines Unveiled cohort, the CAR reaches -0.179 at $\tau = 3$, deepens to -1.804 at $\tau = 12$, and stands at -2.681 at $\tau = 20$. For the Implementation Push cohort, the CAR is -0.193 at $\tau = 0$, -1.147 at $\tau = 6$, and -2.121 at $\tau = 12$.

Across all three milestones, KOSPI underperformed the MSCI EM Asia benchmark relative to pre-event trend by between 1.3 and 4.1 P/B points over the 20-month post-event window. The convergence of this finding across three distinct Value-Up milestones, and the absence of any sustained positive CAR in the MSCI EM Asia specification, establishes that Korea’s voluntary reform program did not produce a durable improvement in Korea’s relative valuation. The MSCI EM Asia result is particularly informative because it rules out any interpretation in which Japan-specific TOPIX appreciation mechanically drives the Korea Discount story: if Korea’s Value-Up were generating genuine valuation gains, those gains would appear against an EM Asia comparator that was not simultaneously re-rating upward due to its own governance mandate. The persistent negative CARs against EM Asia confirm that Korea was losing ground to regional peers across all three reform milestones, not merely failing to keep pace with Japan.

3.5 Robustness

We assess robustness along two dimensions—event-date specification and spread definition—producing six event-study configurations in total: three Korea event-date variants (narrow 2024 rollout, window sensitivity, and spaced follow-through) each estimated against both the TOPIX and MSCI EM Asia spreads.

Window sensitivity. The window sensitivity variant truncates the post-event horizon to 12 months for the Korea stacked design, testing whether the primary results depend on the longer 20-month post-event window. The 12-month CARs in this specification are numerically identical to those reported in the primary specification by construction, since the primary specification reports CARs at $\tau = 12$ from the same cohort parameters. For the TOPIX spread, the 12-month CARs are -0.289 (launch), $+1.030$ (guidelines), and $+1.426$ (implementation push). For the MSCI EM Asia spread, the 12-month CARs are -2.178 , -1.804 , and -2.121 respectively. The window sensitivity results confirm that the launch event’s negative TOPIX CAR and all three Asia-spread CARs are robust to the truncated 12-month horizon, and that no artifact of the

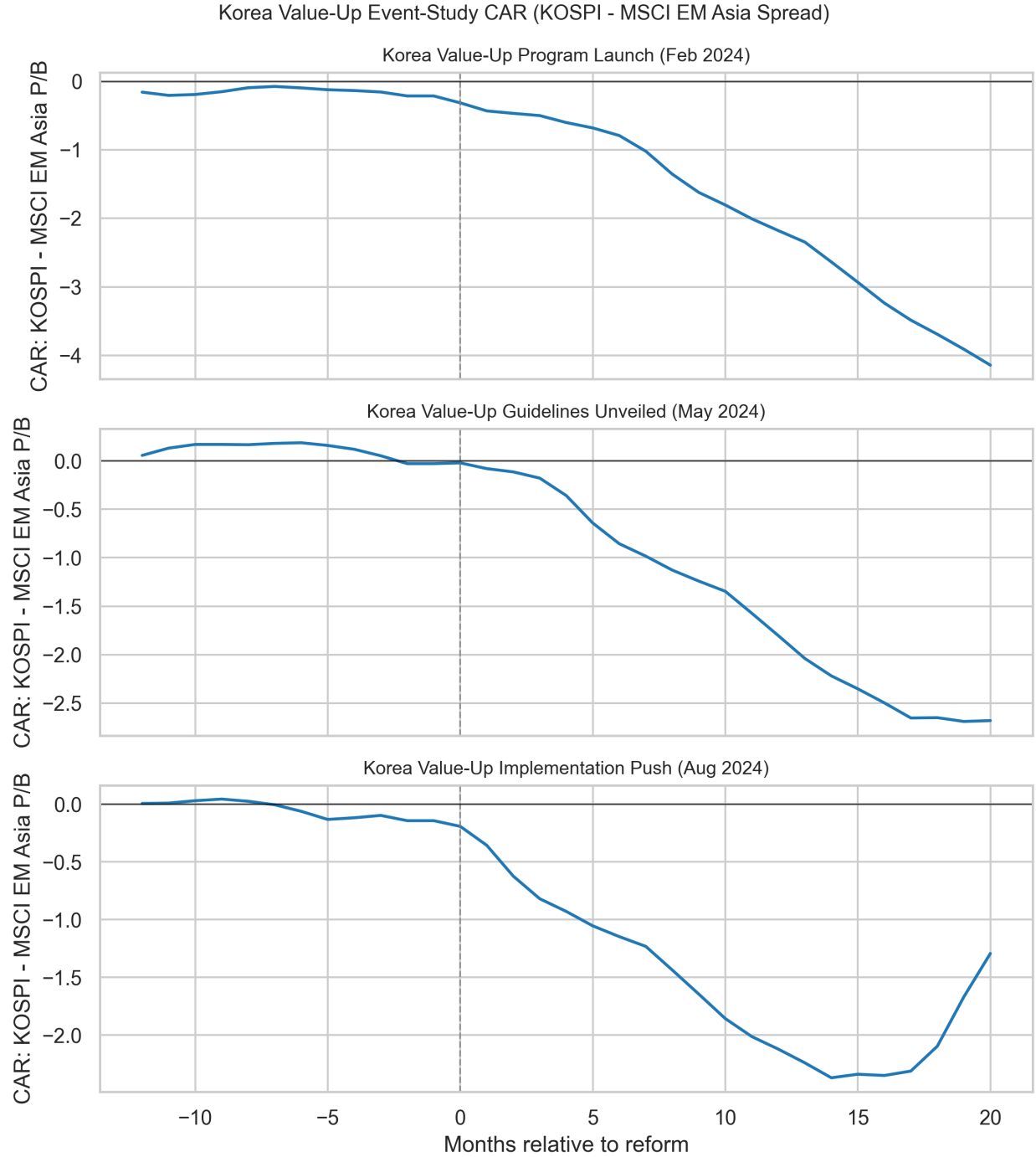


Figure 5: Cumulative abnormal KOSPI–MSCI EM Asia P/B spreads for Korea’s three Value-Up reform milestones, using the same stacked cohort design as Figure 4. A negative CAR indicates Korea underperformed regional emerging-market peers relative to pre-event trend. All three cohorts produce persistently negative CARs: the launch reaches -2.178 at $\tau = 12$ and -4.141 at $\tau = 20$; guidelines reach -1.804 at $\tau = 12$; implementation push reaches -2.121 at $\tau = 12$. Because MSCI EM Asia carries no TSE-equivalent P/B mandate, these results rule out Japan-specific TOPIX appreciation as the mechanical driver of Korea’s relative deterioration.

extended post-window drives the primary findings. Figure 6 presents both panels of the window-sensitivity specification.

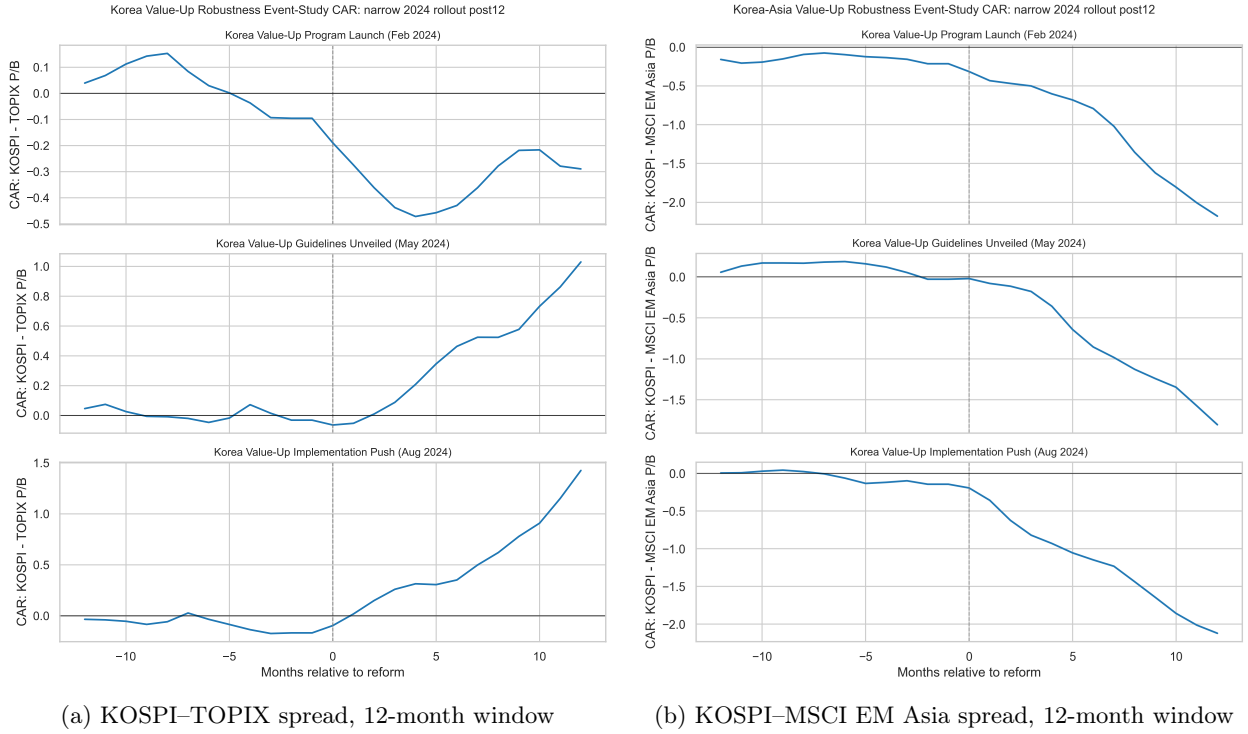


Figure 6: Window-sensitivity robustness: Korea Value-Up event study truncated to a 12-month post-event window. CARs at $\tau = 12$ are identical to the primary specification (Figure 4 and Figure 5) by construction. Panel (a) shows the TOPIX-based spread; Panel (b) shows the MSCI EM Asia spread. All three MSCI EM Asia CARs remain negative at the 12-month horizon, confirming that the primary result does not depend on the extended 20-month window.

Spaced follow-through. Figure 7 presents the spaced follow-through specification, which replaces the clustered 2024 Value-Up dates with a temporally spread event sequence: the February 2024 program launch, the July 2025 mandatory governance disclosure expansion, and the February 2026 Value-Up dividend disclosure rule. By design this specification reduces calendar-time overlap across cohorts at the cost of a shorter post-event window for the most recent events, which is limited to 2 months given the April 2026 study endpoint. For the program launch, the 2-month CARs are -0.362 (TOPIX) and -0.468 (MSCI EM Asia), consistent with the primary specification’s negative launch-event result. For the July 2025 mandatory governance disclosure expansion, the 2-month CARs are $+0.654$ (TOPIX) and -0.006 (MSCI EM Asia); for the February 2026 Value-Up dividend disclosure rule, the 2-month CARs are $+1.825$ (TOPIX) and $+1.324$ (MSCI EM Asia). The most recent mandatory events show tentatively positive short-run CARs in the TOPIX specification, and the MSCI EM Asia result for the July 2025 event (-0.006 P/B points at $\tau = 2$) is consistent with near-zero improvement at best. A 2-month post-event window is insufficient to evaluate whether any

sustained structural improvement has materialized; we report these results for transparency and note that the spaced follow-through design was constructed to reduce overlap rather than to generate inference about the very latest legislative milestones.

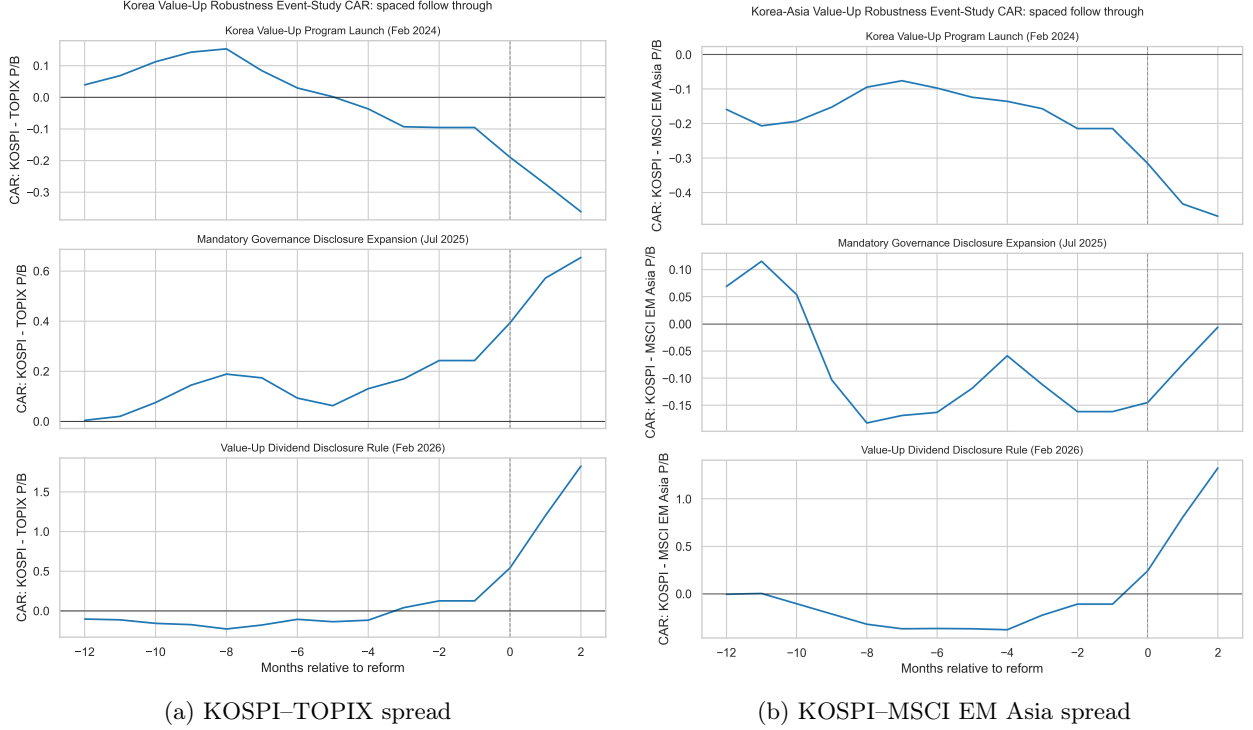


Figure 7: Spaced follow-through robustness: event sequence replaced with the February 2024 program launch, the July 2025 mandatory governance disclosure expansion, and the February 2026 Value-Up dividend disclosure rule. Post-event windows are 2 months for the two most recent events given the April 2026 study endpoint. Panel (a) uses the TOPIX spread; Panel (b) uses the MSCI EM Asia spread. The launch cohort replicates the negative primary result (-0.362 TOPIX, -0.468 MSCI EM Asia at $\tau = 2$). The very short window for the 2025 and 2026 events precludes durable inference.

Across all six robustness configurations, the primary conclusion is stable. The Korea Value-Up launch produces negative or near-zero CARs in both spread specifications. The MSCI EM Asia comparison uniformly shows Korea losing ground to regional emerging-market peers in the 12 months following each of the primary 2024 Value-Up milestones, with CARs of -2.18 , -1.80 , and -2.12 P/B points that are unaffected by TOPIX-specific dynamics. These results, combined with the Japan benchmark evidence establishing that Japan's 2023 hard mandate produced a CAR of -6.48 P/B points on the KOSPI-TOPIX spread, jointly support the central claim of this paper: Korea's voluntary Corporate Value-Up program has not generated a structural improvement in the Korea Discount, and the governance-reform gap between the two countries widened precisely when Japan escalated from soft codes to hard exchange-level mandates while Korea did not.

4 Discussion

4.1 Interpreting the Korea–Japan Divergence

The central empirical finding of this paper is a sharp asymmetry in the valuation consequences of Japan’s three governance reform milestones. Japan’s two early soft-law interventions—the 2014 Stewardship Code and the 2015 Corporate Governance Code—produced positive abnormal KOSPI–TOPIX spread movements over the two years following each event, indicating that Korea’s equity market held its relative position or modestly outperformed Japan’s in the period immediately following Japan’s early institutional reforms. The 2023 TSE P/B Reform Request is categorically different: it produced a monotone, accelerating negative CAR of -6.48 P/B points over 24 months, the largest in absolute value of any event in the sample and the only one for which the month-on-month contribution is negative without exception through $\tau = 23$. The pattern is consistent across both the TOPIX and MSCI EM Asia spread definitions, ruling out the possibility that Japan’s post-reform TOPIX appreciation mechanically drives the result through index-level composition effects.

This asymmetry carries a specific interpretation. Soft governance codes—whether Japan’s 2014 Stewardship Code or its 2015 Corporate Governance Code—are instruments of persuasion: they articulate norms for institutional investor engagement and board structure but impose no sanctions for non-compliance. Under voluntary frameworks, firms with the greatest incentives to resist reform—those in which controlling shareholders extract private benefits through related-party transactions—are precisely the ones least likely to opt in. The empirical record from Korea’s own institutional-activism literature corroborates this: Kim et al. [2014] find that markets do not react to NPS vote-no announcements in the short run, suggesting that voluntary shareholder activism lacks the enforcement credibility necessary to shift valuation expectations. Japan’s two early soft-code events therefore did not generate a sustained TOPIX re-rating that Korea failed to match, because neither code constituted an enforceable governance shock for the firms most responsible for Japan’s pre-reform discount.

The 2023 TSE mandate crossed a qualitative threshold. By requiring firms with P/B below 1.0 to publicly disclose capital efficiency improvement plans or explain non-compliance—backed by the threat of delisting guidance and active TSE follow-up—the mandate transformed governance reform from a reputational norm into a compliance obligation with observable consequences. The market’s immediate negative response in the KOSPI–TOPIX spread reflects investors anticipating that Japan’s listed universe would improve its capital allocation while Korea’s would not, a differential expectation that is precisely what the -6.48 P/B CAR documents over the subsequent two years. Korea’s 2024 Value-Up program, by contrast, remained entirely voluntary: the February launch, May guidelines, and August implementation push events generated

no comparable positive CAR in the KOSPI–MSCI EM Asia spread—the specification most insulated from Japan-specific dynamics—with all three milestones producing negative CARs of -2.18 , -1.80 , and -2.12 P/B points at the 12-month horizon.

The contrast between Japan’s hard mandate and Korea’s voluntary program is therefore not merely a question of intensity but of mechanism. Voluntary programs do not resolve the fundamental collective-action problem in governance reform: controlling shareholders who benefit from the status quo have no individually rational reason to comply, and markets will not price in a reform they do not expect to be enforced. The quantitative magnitude of the divergence—a 6.48 P/B point gap opening in Japan’s favor over 24 months following the 2023 mandate—is large enough to plausibly account for much of the observed Korea Discount. Whether this fully closes the structural gap in the long run will depend on Japan maintaining enforcement and on Korea’s eventual transition to comparable mandates.

4.2 The Governance Channel and Its Limits

The results of this paper are consistent with, but do not definitively establish, a governance channel as the exclusive mechanism behind the Korea Discount. Three alternative interpretations merit explicit consideration.

First, the discount could partly reflect structural differences in the industrial composition of KOSPI relative to TOPIX and MSCI EM Asia. Korean equities are heavily weighted toward manufacturing conglomerates with high tangible-asset intensity, precisely the firm characteristics that 양철원 et al. [2025] identify as correlates of low P/B in cross-sectional regressions. Our index-level analysis cannot control for compositional differences of this kind, and the sub-period deterioration in Korea’s mean P/B from 1.36 (pre-reform) to 0.93 (post-TSE) does not by itself isolate governance from slower structural transitions in Korean industry. However, the event-study design partially addresses this concern: if compositional differences are approximately stable within the 36-month pre-event window used for trend estimation, then the abnormal spread in the post-event period captures reform-related deviations rather than secular composition shifts. The consistency of negative CARs across three distinct Korea Value-Up milestones, spanning February through August 2024, is harder to explain through slow-moving compositional change than through a market-level assessment of Korea’s governance trajectory.

Second, foreign exchange dynamics could conflate valuation and currency effects if P/B ratios are being compared across currency boundaries in a way that MSCI index methodology does not fully equalize. The panel OLS results partially address this concern: the log FX coefficient in the two-way fixed effects specification is -0.024 ($p = 0.018$), indicating a modest negative association between won depreciation and

Korean P/B after controlling for country and time fixed effects, but the reform interaction terms for the TSE Corporate Governance Code and the TSE P/B Reform Request retain significance (-0.322 , $p < 0.001$ and -0.234 , $p = 0.056$ respectively), and the event-study design absorbs FX trends through the pre-event linear extrapolation. Currency effects alone cannot account for the persistence and magnitude of the divergence documented here.

Third, the growth-versus-governance debate in the literature—in which 양철원 et al. [2025] and 이정환 [2025] find that R&D investment and firm maturity outperform governance variables in cross-sectional P/B regressions—raises the question of whether governance reform can raise valuations without also addressing the underlying growth deficits of large Korean conglomerates. Our results do not directly engage this question at the firm level, since we use index-level data. What the event-study evidence does establish is that Japan’s market reacted positively to a governance mandate even though Japanese conglomerates share many of the same structural growth limitations as their Korean counterparts. If governance improvements were insufficient to raise valuations in the absence of fundamental growth, the TSE mandate should not have produced a sustained TOPIX re-rating. The magnitude of the 2023 CAR is therefore at least partially inconsistent with a pure growth story, and more consistent with the view that governance-induced capital allocation improvements—including buybacks, dividend increases, and divestiture of low-return subsidiaries—can drive re-rating independently of underlying business model transformation.

4.3 Limitations

Several limitations of the empirical design should be acknowledged. First, the stacked event-study methodology produces descriptive CARs rather than inferential estimates: the saturated cohort-by-relative-time specification places one observation per cell, precluding the construction of standard errors, and the clustering of Korea’s three Value-Up milestones within a seven-month window creates calendar-time overlap that violates the standard stacked-DiD independence assumption. The CARs reported in Section 4 are therefore properly interpreted as measures of realized abnormal spread movement, not as causal effect estimates with associated uncertainty. Readers should be cautious about reading precision into the specific numerical values; the qualitative patterns—persistent negation in the MSCI EM Asia comparison, the sharp sign reversal between Japan’s soft and hard codes—are robust to the design’s descriptive limitations.

Second, Japan serves as a governance reform benchmark rather than a clean causal counterfactual for Korea. The identifying assumption underlying the Japan event study is that, absent Japan’s governance reforms, the KOSPI–TOPIX spread would have continued along its pre-event linear trend. This assumption is implausible for long horizons—the two indices respond to different macroeconomic shocks, exchange rate

regimes, and sector compositions—but defensible within the 36-month estimation window used here, over which the pre-event trends are estimated. The MSCI EM Asia comparator analysis, by replacing Japan with a basket of regional peers that carries no TSE-equivalent mandate, is specifically designed to assess the robustness of the Japan-benchmark interpretation, and the convergence of results across both comparators strengthens the inference.

Third, the analysis is conducted entirely at the index level and cannot speak to the cross-sectional distribution of governance improvements within Korea. The literature, particularly 강나라 and 김희주 [2026], finds that the market response to Korea’s 2025 Commercial Act amendment was heterogeneous: firms with the highest book-to-market ratios and the lowest controlling-shareholder ownership concentrations showed the largest abnormal returns, suggesting that governance reform has its greatest effect precisely where expropriation risk is highest. Our aggregate index-level design would not detect such heterogeneity even if it were present in the data, and the apparent absence of aggregate improvement in the KOSPI–MSCI EM Asia spread does not preclude meaningful governance gains at the firm level for a subset of Korean companies. Firm-level event studies around Korea’s 2024 and 2025 reform milestones, using within-firm variation in governance exposure as a conditioning variable, would be a natural complement to the aggregate evidence presented here.

Fourth, the study window ends in April 2026, and only two post-event months are available for Korea’s most recent mandatory reform events. The spaced follow-through specification suggests tentatively positive CARs for the July 2025 mandatory governance disclosure expansion and the February 2026 Value-Up dividend disclosure rule, but a 2-month window is entirely insufficient to distinguish a sustained structural improvement from short-run announcement effects. The conclusions of this paper pertain to the voluntary 2024 Value-Up phase; whether Korea’s subsequent mandatory increments—and the broader 2025 Commercial Act fiduciary duty expansion—produce durable re-rating is an empirical question that cannot yet be answered with the available data.

4.4 Policy Implications

The evidence in this paper, read alongside the literature surveyed in Section 2, supports a specific policy conclusion: resolving the Korea Discount requires hard legislative reform that removes the voluntary character of governance compliance, rather than iterative enhancement of existing soft-law frameworks. The mechanism through which hard mandates operate is not primarily informational—markets are not learning new facts about Korean corporate governance from a mandatory disclosure rule that they could not have inferred from voluntary disclosures. Rather, mandatory frameworks change the strategic environment for controlling

shareholders by making non-compliance costly and observable, thereby credibly committing the regime to enforcement in a way that voluntary guidelines cannot.

This distinction has direct relevance for the design of Korea’s reform agenda. The 2024 Corporate Value-Up program failed, by the measure of this study, not because the underlying policy objectives were poorly specified but because the voluntary mechanism left the decision to participate with the very firms whose controlling shareholders had the largest private incentives to resist. A well-designed hard mandate analogous to the TSE P/B directive would require firms in the KOSPI universe meeting a defined threshold criterion—P/B below 1.0 being the natural parallel—to publicly disclose capital efficiency improvement plans, explain deviations from a target return-on-equity or payout schedule, and face exchange-level scrutiny if the disclosed plans are not implemented within a stated period. The 2025 Korean Commercial Act amendment, which expanded directors’ fiduciary duties from the corporation to shareholders broadly, represents meaningful progress toward this framework: 강나라 and 김희주 [2026] find that the legislative passage produced significant positive abnormal returns for high-book-to-market firms, consistent with market participants revising expectations of expropriation risk downward. However, a fiduciary duty expansion creates a legal cause of action rather than a proactive compliance obligation; whether it shifts controlling shareholder behavior without accompanying exchange-level enforcement mechanisms remains to be seen.

The foreign investor channel identified by 주병철 [2026] suggests that governance reform and market openness are complementary instruments. Foreign institutional investors impose discipline on both over-investing and under-returning firms, correcting the allocation distortions that flow from concentrated ownership structures. Reforms that reduce the Korea Discount through improved governance would therefore be self-reinforcing if they simultaneously attract foreign institutional participation, because greater foreign ownership raises the share of investors who monitor management aggressively and vote against related-party transactions. The Korean government’s parallel efforts to improve market accessibility—including English-language corporate disclosures and simplified foreign investor registration—should be understood in this context as part of a governance reform package rather than a standalone capital-account liberalization measure.

The findings also bear on the broader debate over the relative contribution of governance failures and growth deficits to the Korea Discount. The evidence from Japan’s 2023 mandate suggests that governance reforms can produce large, sustained valuation improvements even within an industrial structure broadly similar to Korea’s—without requiring a transformation of the underlying business models of the large conglomerates that dominate both markets. This does not imply that growth-oriented reforms are irrelevant, but it does establish a lower bound on the valuation impact that governance reform alone can achieve. Policies that simultaneously address governance—through mandatory disclosure obligations, enhanced fiduciary duties,

and exchange-level enforcement—and growth—through R&D tax incentives, cross-shareholding reduction, and holding company discount compression—are likely to be complementary and mutually reinforcing, as the literature on Korea’s chaebol structure suggests that governance improvements reduce value-destroying pyramidal acquisitions that otherwise crowd out productive investment.

4.5 Conclusion

This paper has argued and empirically documented that the Korea Discount is structural, governance-driven, and unlikely to close without hard legislative reform. The descriptive panel establishes that KOSPI traded at a mean discount of -0.177 P/B points to TOPIX and -0.601 P/B points to MSCI EM over 20 years, with a sub-period deterioration from near-parity in 2004–2013 to a mean gap of 0.43 P/B points in 2023–2024. The geopolitical risk falsification confirms that this discount is not attributable to North Korean threat episodes: the GPR escalation coefficient is economically negligible and statistically indistinguishable from zero ($t = -0.835$, $p = 0.405$). The Japan event study identifies Japan’s 2023 TSE hard mandate as the structural inflection point, producing a -6.48 P/B point CAR in the KOSPI–TOPIX spread over 24 months—the single largest valuation event in the sample—while Japan’s earlier soft codes produced no comparable deterioration in Korea’s relative standing. The Korea Value-Up event study documents that Korea’s voluntary program produced no analogous improvement: the program launch generated a negative 12-month CAR in both the TOPIX and MSCI EM Asia specifications, and all three Value-Up milestones show persistently negative CARs against the regional emerging-market benchmark, with magnitudes of -2.18 , -1.80 , and -2.12 P/B points at $\tau = 12$. Robustness checks across event-date specifications and post-event window lengths leave these conclusions intact.

The practical implication is that Korea currently stands where Japan stood before 2023: in possession of well-articulated soft-law governance norms whose voluntary character renders them structurally insufficient to overcome the incentive problems of concentrated ownership. Japan’s experience demonstrates that the transition to hard exchange-level mandates can produce large, rapid, and sustained valuation improvements. The 2025 Commercial Act amendment expanded the legal framework for shareholder protection in a way that markets have already partially priced, but an exchange-level enforcement mechanism—requiring firms below book value to disclose credible capital efficiency plans under threat of regulatory consequence—remains the missing complement. Until that transition occurs, Korea’s valuation gap will persist as a structural equilibrium outcome of an ownership regime that voluntary guidelines have repeatedly failed to reform.

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